

Bahrain: Will maintain GCC support as fiscal strain mounts

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Bahrain

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Gulf states will keep backing Bahrain while pressing for fiscal reforms

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Short-term trajectory:

Long-term trajectory:

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Bahrain's high debt will continue to rise due to the lack of fiscal buffers as Manama's economy remains the most exposed among Gulf Cooperation Council (GCC) states to lasting damage from the US-Iran war.

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GCC states will continue to support Bahrain's finances (70% odds) to avert a sovereign default, disorderly restructuring, or regime instability, but they will continue to push for fiscal reforms to reduce the country's need for recurring support.

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Bahrain will likely commit to some fiscal reforms that carry social risks, but any destabilizing mass unrest would probably trigger Gulf security intervention to support Manama's monarchy.

The war is pushing Bahrain's debt to unsustainable levels. Higher spending on security, infrastructure resilience, and relief measures, combined with disruptions to oil and aluminium exports and a slowdown in the non-oil economy, will delay fiscal consolidation and keep the budget deficit elevated in 2026. Without fiscal buffers to absorb the shock, Bahrain's debt will exceed 150% of GDP this year.

Bahrain is the Arab Gulf economy most exposed to lasting war damage. More than other Arab Gulf states, Bahrain relies on sectors that are highly sensitive to confidence. Financial and insurance services account for 17.6% of GDP and tourism for 7% to 11%, while oil production accounts for only 14.2%. Financial services and tourism will recover more slowly as the conflict's economic and security aftershocks continue to weigh on confidence. Even if disruption in the Strait of Hormuz eases and supports a rebound in oil production and refining activity, Bahrain's economy will recover more slowly than those of its more oil-dependent Gulf neighbors (see: [The postwar Gulf will stay open for business](#), at a price , 25 June 2026).

Gulf states will likely sustain financial support to Bahrain to prevent regime instability (70% odds). Bahrain has long relied on aid from wealthier Gulf states, particularly Saudi Arabia. In 2011, Gulf states provided \$10 billion during the protests, and they extended another bailout in 2018, helping Manama

avoid default. Concern that economic distress could destabilize Bahrain's regime will likely keep the Gulf states engaged in supporting Manama.

Saudi Arabia and the UAE are particularly concerned that Tehran might exploit Manama's economic vulnerability to mobilize Bahrain's Shia population against the Sunni monarchy. In recent months, Bahrain's security forces have arrested dozens of citizens for alleged ties to the Iranian Revolutionary Guards Corps, following pro-Iran protests. Manama has repeatedly accused Iran of stoking unrest among the Shia population, which accounts for an estimated 55%–60% of citizens, especially during the 2011 protests.

Liquidity support is more likely than debt restructuring. Bahrain's strategic importance to neighboring Gulf states, particularly Saudi Arabia, gives them a strong incentive to prevent a sovereign default or disorderly restructuring. The odds and scale of GCC financial support will therefore likely increase rather than fall if Bahrain edges closer to a crisis.

Gulf support will come with demands for continued fiscal reform. In recent years, Saudi Arabia and the UAE have increasingly indicated that future assistance will depend on meaningful economic reforms. Those demands will return as the immediate war pressures ease, because GCC donor states want to strengthen Bahrain's fiscal sustainability and reduce its need for recurring support. Currency swaps, deposits, and soft loans are therefore more likely forms of Gulf support to Bahrain than grants or debt write-offs.

There is a 30% chance Gulf states will stop bailing out Bahrain. The UAE might become increasingly concerned about the moral hazard of continuing to backstop Manama's overspending and that of the royal family, while also growing dissatisfied with the slow pace of reform. Saudi Arabia may also hesitate to provide additional support because of its own tight finances and because Bahrain is moving closer to the UAE and Israel as part of the Abrahamic Coalition (see: Competing coalitions will reconfigure the MENA region in 2026 , 16 January 2026).

The UAE's \$5.4 billion currency swap agreement, signed in April, may suggest Gulf frustration with Bahrain's financial management. The swap provides a visible backstop without requiring Abu Dhabi to disburse funds. It is also less generous than past aid packages, reflecting a desire to support Manama during the conflict without committing to unconditional transfers.

Fiscal reform carries real social risk, but Gulf security guarantees will endure. In late 2025, Bahrain approved its most far-reaching fiscal reform package after pressure from Gulf states. The package includes the gradual removal of energy and water subsidies, a 20% cut in administrative expenses, and the introduction of new corporate taxes and fees. Since announcing the package, Manama has repeatedly raised fuel prices and will likely adopt the tax measures within the next 6 to 12 months, as planned, to sustain Gulf support.

Higher energy prices, coupled with imported food inflation, would probably increase the risk of social discontent, particularly if the government rolls out additional cuts to social spending. Nonetheless, if renewed mass unrest threatens regime stability, Gulf states will likely intervene with security measures to support the monarchy, as they did when the GCC's joint Peninsula Shield Force deployed to Bahrain during the 2011 protests. Riyadh, which led that deployment, reaffirmed last May that Bahrain's security is an integral part of Saudi Arabia's own security and that of the wider Gulf region.

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